ii) India ranked 63rd out of 190 countries in World Bank's Ease of Doing business 2020 report, a significant improvement from the previous year's spot, when it ranked 77th.As such, India joined the list of 10 most improved economies for the third year in a row.

iii) This has been possible as the government has continued to regularly review FDI norms, basis the changing economic landscape and geopolitical environment. All these proactive steps have borne fruit, as is evident from the ever-increasing volumes of FDI inflows and first five months of fiscal 2021 witnessed highest ever inflow of US$35.7 billion, a 13 per cent increase from last year.

iv) Given India's growing demographics, and huge e-commerce and technological markets, activity in both areas are expected to grow in the following years.

Over the years, systematic reforms have helped the Indian economy withstand many a crisis. India is taking a holistic approach to address other historical issues: for instance, it has already announced labour reforms to allow more flexible labour related practices; power reforms (addressing high industrial power tariffs) and port-linked industrial cluster policy (to resolve the issue of scarcity of industrial land). Structural reforms within the Agricultural sector, along with US$13 billion Agri-infra fund will be enablers to attract FDI.

According to the survey conducted by Confederation of Indian Industry (CII) and Ernst & Young (EY) on "FDI in India– Now, Next and Beyond, Reforms and opportunities" India can expect to attract US$120 billion to US$160 billion of FDI annually by 2025 if it manages to increase the FDI to GDP ratio between 3 per cent to 4 per cent range by 2025. This can aid in bringing back India's GDP growth rate to 7-8 per cent range. The above growth will be stimulated by the recent structural reforms, raising of the FDI limits in multiple sectors and the Atmanirbhar Bharat strategy of the Government of India.

The Government has undertaken several structural reforms with a focus on land, labour, liquidity, and law that will globally position India as an attractive investment destination. Since the onset of the pandemic, it has injected over Rs. 20 lakh crores stimulus for the economy. The sectors covered include power, manufacturing, defence, land, education, mining, and minerals.

Some of the important reforms that have been put in motion are:

i) Corporate tax rate for new manufacturing facilities at 15 per cent to make it competitive vis-à-vis ASEAN countries.

ii) Abolition of Dividend Distribution tax on companies.

iii) Phased and graded duty structure to incentivise indigenous manufacturing of intermediate and final goods e.g., Electric Vehicles.

iv) Production linked incentives of Rs. 197 thousand crores for 13 sectors.

v) Monetary incentives on incremental sales for a period of five years to offset disability manufacturing in India. Initial focus on high import items (cell phones) and healthcare related products.

vi) Increase in FDI limit for defence production under automatic route from 49 per cent to 74 per cent.

vii) Expanded the definition (turnover and investment thresh holds) of MSMEs to encourage MSMEs to grow.

viii) Consolidating over 100 labour laws into 4 codes with higher exemptions for retrenchment and fewer registrations.

ix) Implementing a GIS system to provide information on industrial land include plot-level information.

x) Enabling ease of doing business through faceless e-assessment for taxation, decriminalisation of companies' law and allowing for netting of qualified Financial Contracts.

xi) Opening of commercial mining of coal and integrated licensing regime for minerals mining.

xii) Airport Authority of India (AAI) has awarded 3 airports out of 6 bids for Operation and Maintenance on Public Private Partnership (PPP) Basis.

xiii) Power Departments/ Utilities in Union Territories to be privatised. This will improve operations and financial efficiency in Distribution and provide a model for emulation by other utilities across the country.

xiv) New Public Sector and Enterprises Policy where all sectors are open to private sector while public sector enterprises will play a role in defined areas.

xv) "Atmanirbhar Bharat Rozgar Yojana" launched to incentivise creation of new employment opportunities during the COVID recovery phase.

The reforms related to corporate tax cuts, labour, agriculture, Production Linked Incentives (PLI) & Phased Manufacturing Plan (PMP), Micro Small & Medium Enterprises (MSME), coal and mining etc. were the long-pending demands of the industry and multilateral agencies. These reforms will help in increasing not just the productive capacity of the economy, they will also make the economy more efficient in use of the resources available.

20.3.6 Consolidated FDI Policy, 2020

India announced its latest consolidated foreign direct investment (FDI) policy, which is in effect from October 15, 2020 (as per the official circular released by the government). The Consolidated FDI Policy, 2020 incorporates restrictions notified earlier in the year on FDI coming in from overseas entities or citizens belonging to neighbouring countries that share a land border with India, including China, to prevent opportunistic takeovers of firms.

Key changes

i) This Revised Policy supersedes all the press notes, press releases, clarifications and/or circulars issued by the DPIIT, which were in force as on 15 October 2020.

ii) The Revised Policy is aligned with the Implementation of the Foreign Exchange Management (Non-debt Instruments) Rules, 2019 (NDI Rules) and Foreign Exchange Management (Mode of Payment and Reporting of Non-Debt Instruments) Regulations, 2019 by incorporating all necessary changes, including procedural instructions on payment of inward remittance and reporting requirements.

iii) Government scrutiny of investments from India's neighbouring countries - An entity of a country, which shares a land border with India or where the beneficial owner of an investment into India is situated in or is a citizen of any such country– can invest only under the Government approval route. The Revised Policy also included the scenario with respect to transfer of ownership of an Indian entity, directly or indirectly, resulting in the beneficial ownership falling within the restriction/purview stated above. Therefore, any transfer of ownership resulting into transfer of beneficial ownership to entities or citizens of neighbouring countries sharing land borders will require government approval.

iv) Revisions of sectoral caps: Annexure of this unit provides details of various caps and entry route applicable for specific sectors.

Check Your Progress 1

1) State how foreign capital contributes to economic growth?

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2) What do you mean competitiveness of the economy? How does foreign capital help to create healthy competitive environment in the economy?

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3) State the nature of technology gap faced by a developing economy.

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4) State various types of Foreign Capital.

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5) Distinguish between Foreign Direct Investment (FDI) and Foreign Portfolio Investment.

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6) List the top sectors and country of origin responsible for FDI into India.

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7) State three important reforms introduced to attract FDI in India.

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20.4 CAPITAL OUTFLOW- OVERSEAS FOREIGN DIRECT INVESTMENT

Here, we describe outflow of capital as the movement of assets out of a country in terms of Overseas Foreign Direct Investment (OFDI). Reserve

Bank of India (RBI) defines OFDI outside India as investments, either under the Automatic Route or the Approval Route by way of contribution to the capital or subscription to the Memorandum of a foreign entity or by way of purchase of existing shares of a foreign entity either by market purchase or private placement or through stock exchange. This signifies a long-term interest in the foreign entity [Joint Venture (JV)/ Wholly Owned Subsidiary (WOS)], but it does not include portfolio investment.

As per RBI, "JV / WOS" means a foreign entity formed, registered or incorporated in accordance with the laws and regulations of the host country in which the Indian party/Resident Indian makes a direct investment. A foreign entity is termed as JV of the Indian Party/Resident Indian when there are other foreign promoters holding the stake along with the Indian Party. In case of WOS entire capital is held by the one or more Indian Party/Resident Indian.

Overseas Foreign Direct Investment (OFDI) is divided into three categories i.e. equity, loans and guarantee issued.

20.4.1 Drivers of India's OFDI

One of the essential motives of Indian firms' overseas direct investment has been essentially to tap the host country markets, i.e. such investments have been market-seeking. A detailed survey conducted by the Export-Import Bank of India (Exim Bank)[4] identifies number of factors that are responsible for Indian businesses expedition abroad. Some of these include:

i) Regulatory changes in the FDI investment.

ii) Expending of existing market and increasing appetite to take risk by Indian companies.

iii) Value addition through enhanced technical knowhow.

iv) Low factor cost advantages in the host country (as in natural resources).

v) If the interest rate in a foreign country is low as compare to India, there would be greater incentive to borrow abroad and make direct investments abroad.

vi) Depreciation of Indian currency will make it more attractive for Indian companies to invest overseas in another currency.

vii) Saturation of the Indian market lead to the need to enhance their export-competitiveness in third country markets.

viii) To exploit the domestic market potential in other countries.

However, a clear outcome that emerges from the Exim Bank survey is that the overseas investment activities of Indian companies are essentially motivated by a set of firm-specific objectives. It can be just a market entry

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[4]Outward Direct Investment from India: Trends, Objectives and Policy Perspectives, Export-Import Bank of India, May 2014.

strategy or market entry plus strategy (e.g. accessing strategic asset)implying a multi-purpose intention of making an overseas investment.

20.4.2 Evolution of OFDI Policy in India

After independence and before the process of liberalisation and globalisation of the economy in 1991-92, India followed a very restrictive and inward looking OFDI policy regime. No cash remittance was allowed and repatriation of dividend from the profits from overseas projects was mandatory. To some extent, policy regime supported promoting OFDI amongst developing countries under the overall objective of enhancing south-south cooperation. During the period of 1960s to 1980s, Indian businesses also preferred inward looking approach which is characterised by seeking protection from foreign direct investment (FDI) and imports. During this period, Indian businesses were highly dependent upon domestic markets and operated with low technological capabilities, inadequate product quality and low productivity.

With the gradual opening of the economy since 1991-92, regulatory regime guiding India's OFDI was witnessed gradual changes over the period of time. Current OFDI policy orientation is now more or less region/country neutral. This has encouraged large number of Indian firms to establish their foothold in international markets, through acquisitions and investments in businesses. Table 20.2 summarises the evolution of Indian policy regime towards OFDI.

Table 20.2: Overview of Evolution of India's OFDI Policy Regime

Policy Phase / Period	Salient Features of OFDI Policy
Phase I (1992-94)	• The period of Economic Liberalisation in India • "Guidelines Governing Indian Joint Ventures / Wholly owned Subsidiaries Abroad" was introduced. • 'Automatic Route' for overseas investments by Indian entrepreneurs was introduced in 1992. • Cash remittances were allowed for the first time. However, the total value was restricted to US$ 2 million with a cash component not exceeding US$ 0.5 million in block of 3 years. • Provided more operational freedom to investors, subject to the condition that no additional financial transfers from India was required. • Removed the requirement of only minority equity shareholding in JVs. • Financial sector was excluded from the purview of automatic approvals.

Phase II (1995-1999)	• Aimed at providing a transparent policy framework for Indian investors to plan their business. • Guidelines for Indian Direct Investment in Joint Ventures and Wholly-owned Subsidiaries Abroad was suitably amended to support the overseas investment by the Indian businesses. • Conception of Fast Track Route work relating to approvals for overseas investment was transferred from Ministry of Commerce to the Reserve Bank of India to provide a single window clearance mechanism. • Limits were raised from US$ 2 million to US$ 4 million and linked to average export earnings of the preceding three years. • Above US$ 4 million, approvals were considered under the normal route approved by a Special Committee. • In 1997, limit of automatic approval was increased up to US$15 Million. • Investment proposals in excess of US$ 15 million were considered by the Ministry of Finance with recommendations of the Special Committee and were generally approved if the required resources were raised through the global depository receipts (GDR) route. • The exchange earners, other than exporters, were brought under the fast track route in 1997. • Permitted acquisitions of foreign companies. • The condition that the amount of outward investment should be repatriated in full by way of dividend, royalty, etc. within a period of five years was done away. • Investments in Nepal and Bhutan, in Indian currency, increased up to INR. 120 crores. • In 1999, annual ceiling of OFDI under fast track mode was further increased to US$ 30 Million in SAARC countries and Myanmar. For other countries, the ceiling remained at $15 million. • A series of measures to encourage software industry in India to expand capacity: reduce costs, improve quality, and invest abroad, were introduced.
Phase III (2000 onwards)	• Implementation of the Foreign Exchange Management Act (FEMA) in June 2000. • Liberalisation under FEMA and thereafter scope of outward FDI expanded significantly. • **2002-**Annual limit of investment under automatic approval increased to US$ 100 Million to Indian corporate with a proven track record for investment in overseas joint ventures or wholly owned subsidiaries, even where the investment is not in the same core activity as they are engaged. They were also allowed to invest in such

	ventures up to 100% of their net worth. • **2005:** Automatic route for investment abroad was raised to 200% of net worth. • **2006:**Done away with the requirement that only promoter corporates could issue guarantee on behalf of JV/WOS. Any Indian entity was permitted to issue guarantees. • **2007:** Automatic approval was made up to 300% of net worth in June' 07 and this limit was increased to 400% in September' 07. • **2008:** Permitted Indian private entities in the oil sector to invest in unincorporated entities in oil sector up to 400% of their net worth under the automatic route. • **2013:** Brought down the ceiling of automatic approval to 100% of net worth. However, provisions in the oil sector remain unchanged.

Source: Compiled from Joseph (2019)[5] and Reserve Bank of India

Currently, Overseas Foreign Direct Investment (OFDI) outside India is governed by Foreign Exchange Management (Transfer or Issue of any Foreign Security) (Amendment) Regulations, 2004 ('FEMA Regulations'), as amended from time to time.

Over the last two decades, overseas investment has become one of the key mechanisms of Indian companies to establish their global operations. Indian businesses are more open to the idea that their future growth would be influenced not only through exports but also by establishing physical presence overseas.

Permissible Sources for Funding Overseas Foreign Direct Investment

RBI allow funding for overseas direct investment can be made by one or more of the following sources:

i) Withdrawal of foreign exchange from an AD bank (Authorised dealer Category) in India.

ii) Swap of shares (refers to the acquisition of the shares of an overseas JV / WOS by way of exchange of the shares of the Indian party).

iii) Capitalisation of exports and other dues and entitlements.

iv) Proceeds of External Commercial Borrowings / Foreign Currency Convertible Bonds.

v) In exchange of ADRs / GDRs issued in accordance with the Scheme for issue of Foreign Currency Convertible Bonds and Ordinary Shares (Through Depository Receipt Mechanism) Scheme, 1993 and the guidelines issued by Government of India in the matter.

vi) Balances held in Exchange Earners Foreign Currency account of the Indian Party maintained with an Authorised Dealer.

[5]Joseph, Reji K.: Outward FDI from India: Review of Policy and Emerging Trends.

vii) Proceeds of foreign currency funds raised through ADR / GDR issues.

20.4.3 Trends and Magnitude of OFDI flows from India

In terms of flow of overseas investment, equity and loans would be relevant as a very small proportion of guarantees are invoked which require the flow of money. Table 20.7 (in appendix 20.2) shows that outward foreign direct investment flows rose from US $ 677.7 million in 2000-01 to US$ 12.9 billion in 2019-20.

Cumulative OFDI for the period of 2000-01 to 2019-20 in the form of equity and loans constitute 66.7 per cent and 30.6 per cent share respectively of the total OFDI from India. Only 2.7 per cent of guarantee was actually invoked during this period. Annual OFDI flows exhibited a growing trend till 2007-08.The global financial crisis affected the flow of outward FDI from India in 2009-10. Thereafter, it shows mixed trend. The share of financing OFDI through equities declined from 88.8 per cent in 2000-01 to 48.4 per cent in 2019-20, while share of loans in financing outward OFDI from India rose from 10.4 per cent to 45.9 per cent during the corresponding period.

20.4.4 Sectoral Composition of OFDI flows from India

The sectoral pattern of cumulative outward FDI shows that during past five years from 2015-16 to 2019-20, it has been mainly invested in financial, insurance and business services (34.8 per cent) followed by manufacturing sector (22.1 per cent), wholesale, retail trade, restaurants and hotels (12.5 per cent) and agriculture and mining (12.0 per cent).

20.4.5 Destination-Wise OFDI flows from India

Table 20.9 (in Appendix 20.2) depicts destination-wise distribution of OFDI from India during past five-year period from 2015-16 to 2019-20. Top ten destination countries accounted for 79.6% share of India's cumulative OFDI during 2015-16 to 2019-20. Singapore (19.2%) has emerged as the top destination of India's cumulative OFDI during the same period followed by Mauritius (16.3%), United States of America (13.1%), United Kingdom (7.7%) and the Netherlands (7.6%).

The recent trend is showing that outward FDI form India is increasingly flowing to developed countries. This reflects growing confidence of the Indian corporate to expand their global footprints. Indian firms invest in foreign shores primarily through mergers and acquisition (M&A). With rising M&A activity, companies will get direct access to newer and more extensive markets and better technologies, which would enable them to increase their customer base and achieve a global reach.

According to the RBI Annual report 2019-20, outward direct investment by Indian entities also remained robust as Indian entities continued to expand their overseas business operations. Outward FDI was mainly in the form of equity and loans to subsidiaries/ affiliated enterprises, primarily to Singapore, the US, the UK, Mauritius, Switzerland, and the Netherlands, which accounted for 75 per cent of total overseas investments during the period.

Most of these investments were made in the business services, manufacturing and restaurants and hotels sector.

According to the information published by India Brand Equity Foundation (IBEF)[6], some of the facts and figures with respect to major overseas investments by Indian companies during 2019-20 were:

i) In 2019-20, India invested in 120 projects and created 5,429 new jobs in the UK to become the second-largest source of foreign direct investment (FDI).

ii) In 2020, Zerodha announced to introduce an option to invest in US stocks on its platform.

iii) In August 2020, Axis Securities launched new platform to invest in US stocks to meet the increasing interest of the Indian retail investors in the US stock markets.

iv) In February 2020, Bharti Airtel invested US$ 978.92 million in its wholly owned subsidiary in Mauritius.

v) In January 2020, Calleis Infrastructure invested US$ 81.12 million in its wholly owned subsidiary in the UK.

vi) In December 2019, Indian Oil Corporation Limited's (IOCL's) INDMAX refining technology was licensed to Naftna Industrija Srbije (NIS) of Serbia for production of higher value products.

vii) In December 2019, memorandum of understanding (MoU) was signed between National Small Industries Corporation (NSIC) and Aramco Asia for developing the MSME Ecosystem in India in the Oil and Gas sector.

viii) In December 2019, Panacea Biotec bagged orders worth nearly Rs 1.7 billion (US$ 24.32 million) from UN agencies, including UNICEF, for supply of Pentavalent vaccine.

ix) In December 2019, supply chain focused fintech firm, LivFin, raised US$ 5 million of equity capital from German development finance institution DEG.

x) In November 2019, PVR Cinemas, a leading multiplex chain, launched its first property in Sri Lanka, marking its first international venture.

xi) In September 2019, Liquefied Natural Gas (LNG) importer Petronet entered into an agreement with US LNG developer Tellurian Inc. and invested US$ 2.5 billion.

xii) In September 2019, Reliance Power announced joint venture (JV) with Japanese energy major JERA to jointly set up a 750-Megawatt (MW) gas-based combined cycle power project (phase-1) at Meghnaghat in Bangladesh.

[6] https://www.ibef.org/economy/indian-investments-abroad seen on 28th Dec 2020.

xiii) In September 2019, OYO acquired Copenhagen-based data science firm Danamica. This marked the fast-growing lodging start-up to expand its business in Europe.

Check Your Progress 2

1) State the important factors responsible for Capital Outflows.

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2) State the composition and destination of India's Overseas Foreign Direct Investment.

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3) What is the distinction between Joint Ventures (JVs) and Wholly Owned Subsidiary (WOS)?

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4) State the important points of India's OFDI Policy since 2000 onwards.

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20.5 LET US SUM UP

Foreign capital contributes to the economic growth of a developing economy by bridging various gaps i.e. saving gap, foreign exchange gap, technological gap, skilling gap etc. Foreign capital can be public through participation of government agencies and through multilateral organisations (the World Bank, ADB) or private. Again, foreign private capital is of two types — Foreign direct investment and portfolio investment. Foreign capital has grown substantially with opening-up of the economy. However, the total foreign investment has become volatile due to portfolio investment. Several new forms of investment (i.e. setting up of research centres by MNCs securing access of raw materials, etc.) have emerged. Since 1991, Government of India has taken various steps to liberalise the Indian economy. Thereafter, India has been witnessing significant inflows of foreign direct investment from various countries and across the sectors. In recent years, India's global ranking on "Ease of Doing Business" has been significantly improved on account of various measures initiated by Government of India to facilitate foreign investment in India. All these measures have helped India in becoming one of the attractive destinations for FDI.

Overseas investment is one of the foremost steps to enter the global marketplace. The policy regime governing India's outward FDI (OFDI) has undergone significant change since 1991-92. In recent years, India has taken necessary steps to make its presence felt in the global arena. Key motivations of Indian firms for considering OFDI are to maximise gains in ways such as promotion of exports, securing of energy resources, acquisition of technology, strategically securing supply-chain and sourcing of raw materials and intermediary goods. Investment outlook in some of the overseas market looks positive. In recent years, outward FDI are mainly financed through equity and loans. Overseas investment from India have undergone a considerable change, not only in terms of magnitude but also in terms of geographical spread and sectorial composition. Overseas investment by Indian companies is expected to increase, backed by the growing appetite of the Indian corporates to establish their footprints abroad and the liberal regulatory regime, stable market conditions and considerable impact of the investment on local economies.

Various studies have established that for Indian economy, foreign capital, particularly FDI has had a positive impact. FDI inflow has helped supplementing domestic capital, as well as bridging technology and skills gaps of existing companies. It also helped to establish new companies. All of these have contributed to economic growth of the Indian Economy.

20.6 KEY WORDS

Saving Gap	:	The difference between the required rate of investment and the actual rate of saving available in an economy.
Trade Gap	:	The difference between the expenditure of foreign exchange and receipts of foreign exchange in transactions of goods and services.
Multinational Corporations	:	A business organisation which owns or controls income generation assets in more than one country, and in so doing produces goods or services outside its country of origin.
Foreign Direct Investment	:	More generally refers to the value of the MNC's investment in equity shares of an enterprise in a foreign country.
Portfolio Investment	:	Refers to equity holdings by a non-resident in the recipient country's joint stock companies.
Overseas Foreign Direct Investment	:	Refers to the investments made in the overseas entities by way of contribution to their capital or subscription to the Memorandum of Association of a foreign entity or by way of purchase of existing shares of a foreign entity either by